Procure Space ETF

SPCX NASDAQ

Buy	$149.42 ▲ 1.72%	12M Price Target	52-Week Range	Market Cap
		$185.00	$104.83 – $225.64	$2.03T

SPCX: Space ETF Bouncing as Defense Budget Momentum Builds

WHAT HAPPENED

- SPCX bounced +1.72% to $149.42 on notably lighter volume (68M vs 100M+ earlier in the week) — translation: the sellers are exhausted, not that buyers are stampeding in. After last week's drop from $159 to $144, this looks like a stabilization, not a breakout.
- Options flow is loudly bullish — the put/call ratio is 0.44 (meaning more than 2x as many bets on the stock going UP as going down), and there's unusual call buying at the $149-150 strike expiring this week. Someone's betting on a near-term pop.

WHY IT MATTERS

Here's the thing — SPCX is sitting at only 37% of its 52-week range ($105-$226), meaning it's closer to the lows than the highs despite space being one of the hottest policy themes in Washington. That disconnect usually means one of two things: either the market is pricing in a specific risk (budget uncertainty, launch delays), or there's a setup for a catch-up rally. Given the options flow and the fact that Tech is leading the tape (+1.64%) while space is lagging, I lean toward "coiled spring." The real tell will be whether SPCX can reclaim $159 (last week's high) — if it does, the technical damage from the recent selloff is repaired and the path to $170+ opens up.

POLICY & POLITICAL WATCH

The space sector lives and dies by three Washington levers right now: the FY2027 defense authorization (which includes Space Force funding — expected to grow double digits), NASA's Artemis program budget (always a political football), and FAA commercial launch licensing reform (bipartisan support but moving slowly). The current administration has been broadly pro-commercial-space, and the Golden Dome/missile defense initiative is a massive tailwind because it REQUIRES hundreds of new satellites — directly benefiting SPCX's holdings like Rocket Lab, Planet Labs, and launch providers. Watch for continuing resolution drama in December — if Congress freezes spending at prior-year levels, that delays contract awards and could pressure the ETF short-term.

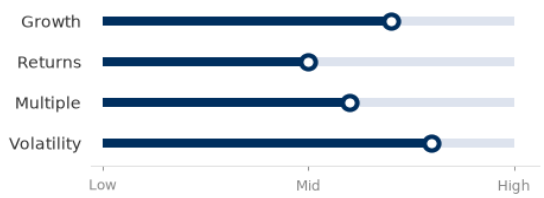
IS IT EXPENSIVE?

SPCX is an ETF, so traditional P/E metrics are messy — you're really buying a basket where some names (Iridium, Garmin) make money and others (Rocket Lab, Planet) are still burning cash to grow. The ETF trades at roughly a mid-single-digit discount to its 52-week midpoint, which is cheap relative to where the policy backdrop should justify. Translation: if you believe the defense/commercial space thesis, you're getting it at a sale price right now versus six months ago.

Key Data

Price (USD)	**$149.42**
12M Price Target	**$185.00**
Upside / (Downside)	**+23.8%**
Market Cap	**$2.03T**
FY2026E Revenue	**$693M**
FY2027E Revenue	**$940M**
FY2026E EPS	**($2.10)**
FY2027E EPS	**($1.50)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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SPCX — Procure Space ETF | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$165.00**	$155.00	**$140.00**
6 Months	**$190.00**	$170.00	**$130.00**
1 Year	**$225.00**	$185.00	**$125.00**
2 Years	**$275.00**	$215.00	**$115.00**
5 Years	**$400.00**	$300.00	**$150.00**
10 Years	**$650.00**	$450.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.64%) and Consumer Discretionary (+0.98%) — classic "risk-on" positioning as the market digests earnings. Industrials firming up (+0.55%) which is a positive read-through for aerospace/defense names inside SPCX.

COOLING OFF: Communication Services (-5.84% over 5 days) — ugly, suggests mega-cap ad names are getting hit. Utilities flat, which means defensive money isn't hiding yet.

ROTATION WATCH: Money is favoring growth over defense this week, which is actually good for SPCX because it holds a lot of growth-flavored space names (Rocket Lab, AST SpaceMobile) rather than pure defense primes.

RELATED PLAY: If space keeps running, the second-order play is semiconductor names with space/defense exposure (rad-hardened chips) and specialty materials companies supplying rocket components — think Materials sector momentum (+1.04% 5D) as the leading indicator.

WHO'S WINNING IN THIS SPACE?

- ITA (iShares Aerospace & Defense ETF): Benefitting from the same defense budget tailwind but with less launch-failure risk — the "boring" way to play the theme.
- ROKT (Rocket Lab, a top SPCX holding): When Rocket Lab moves, SPCX moves — watch their Neutron rocket progress as a leading indicator for the whole ETF.

SPCX CONTEXT: SPCX is lagging broader defense ETFs this year, which tells me the market is still skeptical about the commercial space names inside it. That's actually the opportunity — if sentiment on names like Planet Labs and AST SpaceMobile turns, SPCX catches up fast because it's more concentrated in the pure-plays.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table because the recent price action shows real volatility and the policy wins aren't locked in yet.

POSITION SIZE: 3-5% of portfolio — enough to matter if space rips, small enough to survive if a launch blows up (literally).

ENTRY POINTS: I'd scale in — half position now around $149, add on any pullback to $140-145. If it breaks above $160 with volume, that's confirmation to add the rest.

TIME HORIZON: 12-24 months — the catalysts are the FY2027 defense budget passage (spring) and continued commercial launch milestones.

WHEN TO BAIL: If SPCX breaks below $130 on heavy volume, the technical setup is broken and I'd step aside. Also bail if the defense authorization gets gutted in committee.

HEDGING: Simplest hedge — keep some cash on the sidelines so a pullback is an opportunity, not a problem. If you want to get fancy, buy a cheap put a few months out as insurance against a launch disaster.

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